

NVIDIA Corporation

NVDA NASDAQ

Buy	\$229.90 ▲ 1.11%	12M Price Target \$265.00	52-Week Range \$164.27 – \$236.54	Market Cap \$5.55T
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NVDA: Trump-Xi Meeting Could Unlock China Revenue Again

WHAT HAPPENED

- NVDA is grinding higher again — up ~7.5% in a week and sitting at 91% of its 52-week range. The big catalyst chatter: a potential Trump-Xi meeting that could soften US export restrictions on AI chips to China. That's a huge deal because NVDA lost billions in China revenue when the H20 chip got restricted — any thaw is pure upside.
- Options flow is flashing something weird though: put/call ratio at 0.33 (mostly calls, which is bullish), BUT there's massive unusual PUT buying at the \$227.50 and \$230 strikes expiring this week. That's someone hedging — likely institutions locking in gains before a potential news event. Not a sell signal, but a "someone's nervous" signal.

WHY IT MATTERS

The stock making new highs while insiders (specifically CFO Colette Kress) sell \$7.6M in shares tells you the fundamentals are still strong but the easy money at these levels is getting harder to make. The Trump-Xi angle is the swing factor — if the administration eases H20 or Blackwell export rules to China as part of a broader trade deal, NVDA could see \$10-15B in incremental annual revenue that isn't in current estimates. Meanwhile, Michael Burry's memory-chip supply warning (via the Acer CEO) matters for NVDA because if HBM memory stays tight, it could actually CAP how many GPUs NVDA can ship next year — a "high-class problem" but a real one. Bottom line: this is still the best-positioned name in AI, but you're now paying up for a story the whole market knows.

POLICY & POLITICAL WATCH

The single biggest policy catalyst right now is US-China chip export policy — Trump has signaled willingness to use chip access as a bargaining chip in trade talks, and any loosening on H20 or a China-specific Blackwell variant would be a direct revenue tailwind. On the flip side, the CHIPS Act implementation and ongoing federal AI infrastructure spending (including the DOE's AI supercomputer buildouts) continue to funnel demand toward NVDA. Watch for any Commerce Department announcements this week — the export licensing regime is where NVDA lives or dies on China.

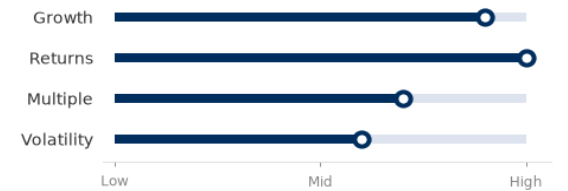
IS IT EXPENSIVE?

At ~\$5.55T market cap and roughly 52x forward earnings, you're paying \$52 for every \$1 of next year's profit — expensive vs. the S&P at ~22x, but NVDA is growing earnings 40%+ and printing 75% gross margins, which almost nothing else in the market can match. The right way to think about it: this isn't cheap, but it's not stupid-expensive either given the growth. If China revenue comes back online, forward multiples compress fast and the stock looks reasonable again.

Key Data

Price (USD)	\$229.90
12M Price Target	\$265.00
Upside / (Downside)	+15.3%
Market Cap	\$5.55T
FY2026E Revenue	\$205M
FY2027E Revenue	\$265M
FY2026E EPS	\$4.45
FY2027E EPS	\$6.10
Fwd P/E	51.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$235.00	\$215.00
6 Months	\$270.00	\$250.00	\$200.00
1 Year	\$300.00	\$265.00	\$190.00
2 Years	\$380.00	\$310.00	\$180.00
5 Years	\$550.00	\$420.00	\$200.00
10 Years	\$900.00	\$600.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+6.58% over 5 days) is leading everything, driven by AI infrastructure names and renewed optimism about China trade. Materials and Staples popped today on defensive rotation whispers, but the money story is still tech.

COOLING OFF: Consumer Discretionary is sluggish (+0.23% today) — robotaxi competition is hurting Uber/Lyft, and broader consumer names are digesting rate uncertainty.

ROTATION WATCH: Money is staying in mega-cap AI beneficiaries rather than rotating out — that's why NVDA keeps making highs. Watch if the 10-year Treasury yield spikes; that's the one thing that could force a rotation OUT of long-duration growth like NVDA.

RELATED PLAY: If NVDA runs on China thaw, the second-order winners are the memory names (Micron, SK Hynix) and the networking plays (Arista, Broadcom) that ship alongside every GPU cluster.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Riding custom AI chip demand from hyperscalers plus the VMware integration — it's the "picks and shovels" alternative to NVDA.
- MU (Micron): HBM memory demand is off the charts and pricing is firming — Burry's thesis is playing out.

NVDA CONTEXT: NVDA is leading its peer group but not by a wide margin anymore — AVGO and MU are catching up because the market is starting to look for AI exposure that isn't already at \$5.5T. That's a subtle warning that the "easy" NVDA trade is maturing, but it doesn't mean the stock is done — just that upside from here requires actual execution and policy help, not just narrative.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-7% of portfolio

Entry Points: \$215-220 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: China export controls tighten further OR hyperscaler capex guidance cuts >15%

Hedging: Long-dated puts or pair with short on a richly-valued AI software name